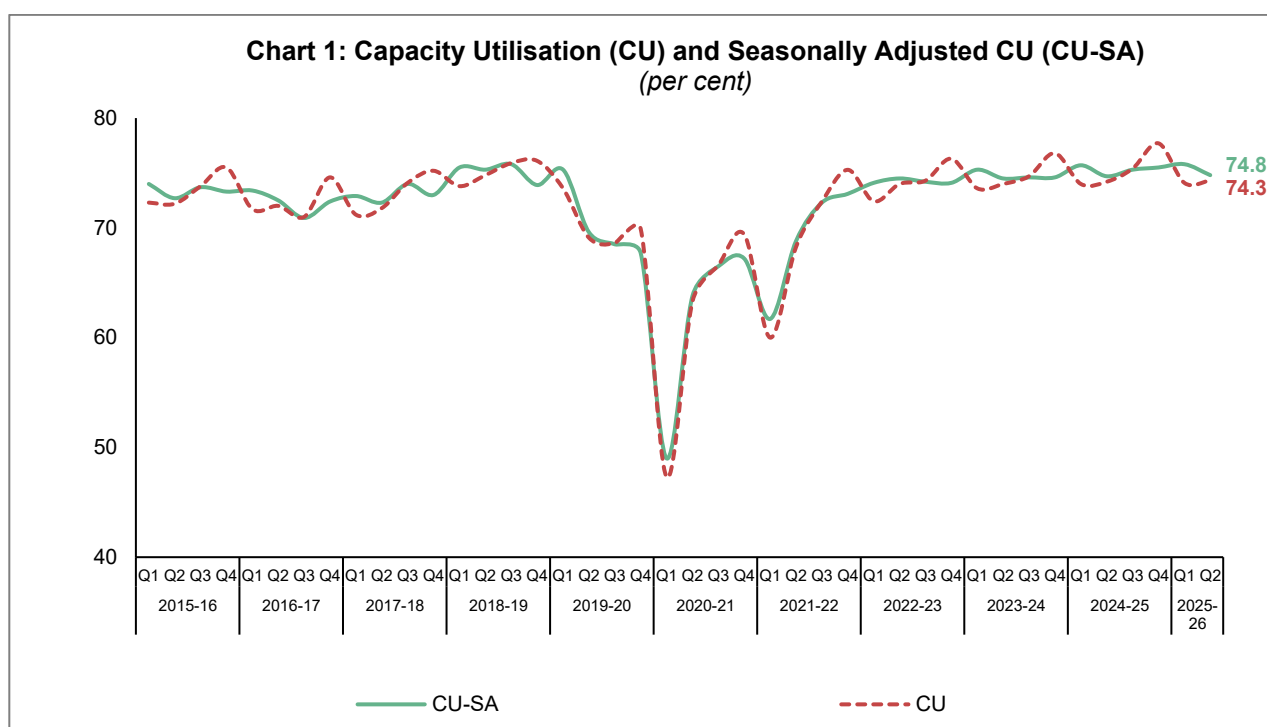


Order Books, Inventories and Capacity Utilisation Survey **on the Manufacturing sector for Q2:2025-26**

Today, the Reserve Bank released the results of its 71st round of the quarterly Order Books, Inventories, and Capacity Utilisation Survey (OBICUS), which was conducted during Q3:2025-26 and covered 1,114 manufacturing companies. The survey¹ provides a snapshot of the demand conditions in India's manufacturing sector during July-September 2025.

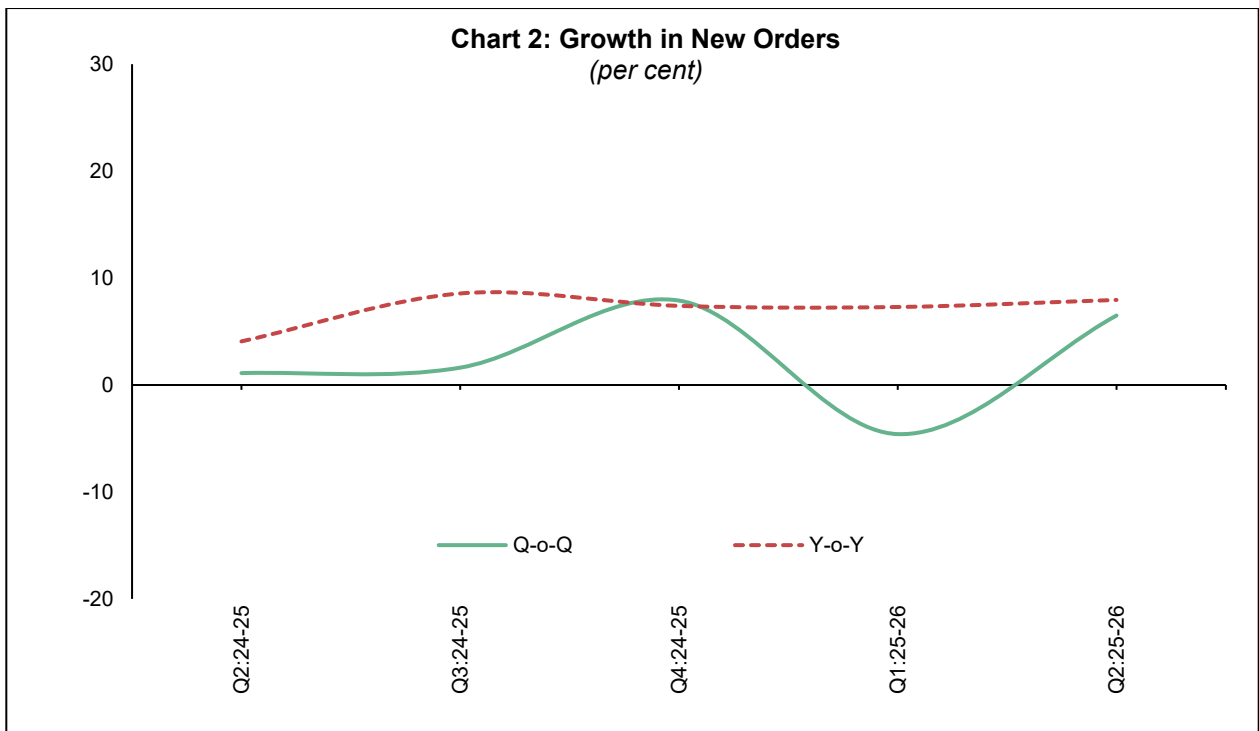
Highlights:

- At the aggregate level, capacity utilisation (CU) in the manufacturing sector increased marginally to 74.3 per cent in Q2:2025-26 from 74.1 per cent in the previous quarter. However, the seasonally adjusted CU (CU-SA) declined by 100 basis points from the previous quarter and stood at 74.8 per cent in Q2:2025-26. Both CU and CU-SA for Q2:2025-26 increased by 10 basis points as compared to their levels in the corresponding quarter of the previous year (Chart 1 and Table 1).

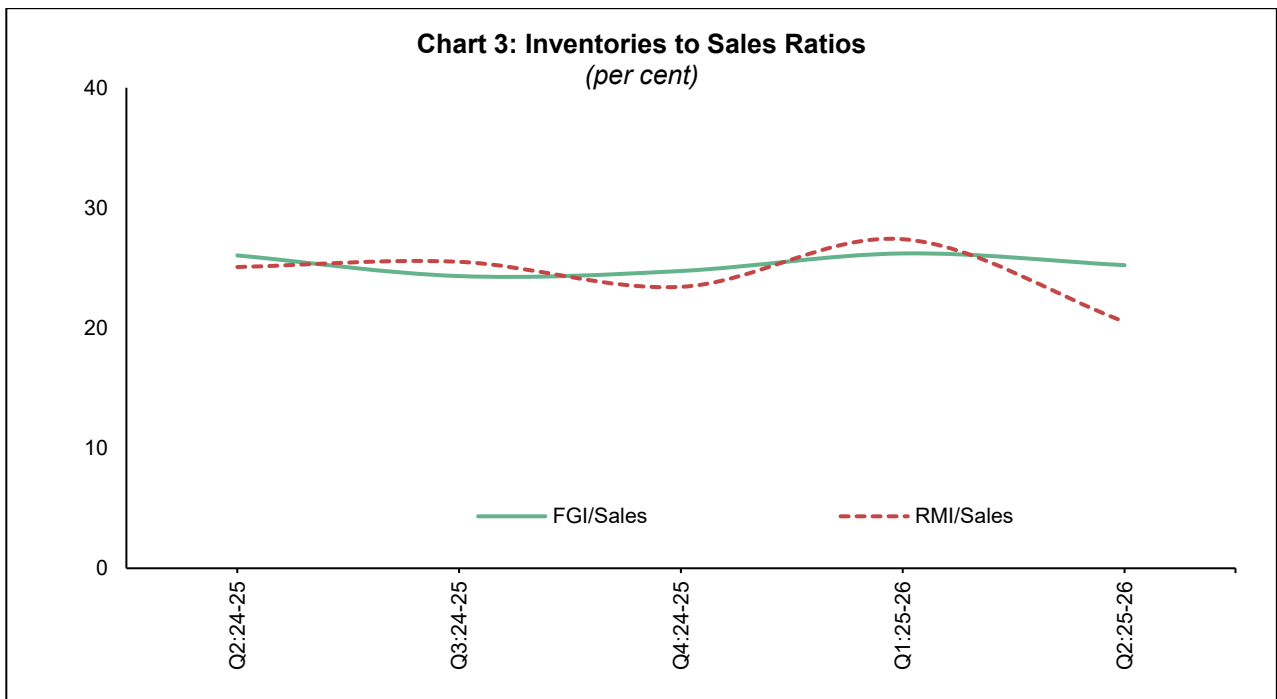


- Manufacturers reported higher growth in new orders during Q2:2025-26 on a sequential (q-o-q) basis. On an annual (y-o-y) basis, the growth continued to remain stable (Chart 2 and Table 2A).

¹ The survey responses are voluntary, and the results reflect the views of the respondents, which are not necessarily shared by the Reserve Bank. Results of the previous survey round were released on the Bank's website on [October 01, 2025](#).



- As a ratio to sales, the finished goods inventory (FGI) remained stable while the raw material inventory (RMI) declined during Q2:2025-26 (Chart 3 and Table 3A).



Note - [Please see the excel file for time series data.](#)

ANNEX 1: Data Tables

Table 1: Capacity Utilisation

Quarter	Number of responding companies	Capacity Utilisation	Seasonally Adjusted Capacity Utilisation
Q2:2024-25	932	74.2	74.7
Q3:2024-25	959	75.4	75.3
Q4:2024-25	960	77.7	75.5
Q1:2025-26	887	74.1	75.8
Q2:2025-26	1007	74.3	74.8

Note: The Seasonally Adjusted Capacity Utilisation is calculated using X13-ARIMA-SEATS (Signal Extraction in ARIMA Time Series) taking the Covid-19 lockdown quarter Q1:2020-21 as an additive outlier.

Table 2A: Order Books Growth

Quarter	Number of responding companies	Q-o-Q Growth # (per cent)			Y-o-Y Growth # (per cent)		
		Backlog Orders	New Order Book	Pending Orders	Backlog Orders	New Order Book	Pending Orders
Q2:2024-25	315	7.2	1.1	2.8	9.8	4.1	9.9
Q3:2024-25	315	2.6	1.6	2.1	12.7	8.6	13.2
Q4:2024-25	353	0.7	7.9	-0.2	6.7	7.4	7.8
Q1:2025-26	385	-0.3	-4.6	3.3	9.0	7.3	7.2
Q2:2025-26	419	2.5	6.5	-0.7	10.7	8.0	3.3

#: Growth rates are calculated using common set of companies responding in three survey rounds, namely the current quarter, one quarter ago and the corresponding quarter a year ago.

Table 2B: Average Size of Order Books

Quarter	Number of responding companies	Average Amount (₹ crore)		
		Backlog Orders	New Order Book	Pending Orders
Q2:2024-25	315	257.8	309.0	291.9
Q3:2024-25	315	232.9	225.8	238.5
Q4:2024-25	353	302.4	317.0	303.9
Q1:2025-26	385	331.1	324.2	342.1
Q2:2025-26	419	376.1	325.9	373.9

Table 3A: Inventory to Sales Ratios

Quarter	Number of responding companies	Ratio (per cent) ##		
		Total Inventory / Sales	Finished Goods Inventory / Sales	Raw Material Inventory / Sales
Q2:2024-25	927	69.3	26.0	25.1
Q3:2024-25	907	69.4	24.3	25.5
Q4:2024-25	932	66.5	24.7	23.4
Q1:2025-26	894	72.1	26.2	27.4
Q2:2025-26	1014	61.7	25.2	20.5

##: Weighted average of industry level ratios using Gross Value Added as weights.

Table 3B: Average Sales and Inventories

Quarter	Number of responding companies	Average Amount (₹ crore)				
		Sales	Total Inventory	Finished Goods Inventory	Work in progress Inventory	Raw Material Inventory
Q2:2024-25	927	987.7	558.1	198.3	111.2	195.0
Q3:2024-25	907	1182.4	496.4	175.8	94.8	171.5
Q4:2024-25	932	1309.4	508.8	187.4	111.0	156.1
Q1:2025-26	894	886.5	505.1	188.2	100.2	170.9
Q2:2025-26	1014	1120.1	568.2	229.4	116.4	174.1

Note: The methodology for computations of order book growth and inventory to sales ratios is given in the [RBI press release dated October 8, 2021](https://www.rbi.org.in/Scripts/PublicationsView.aspx?id=20650) (link: <https://www.rbi.org.in/Scripts/PublicationsView.aspx?id=20650>). Please also see footnote 2 on direct estimation of RMI since 53rd round of the survey.